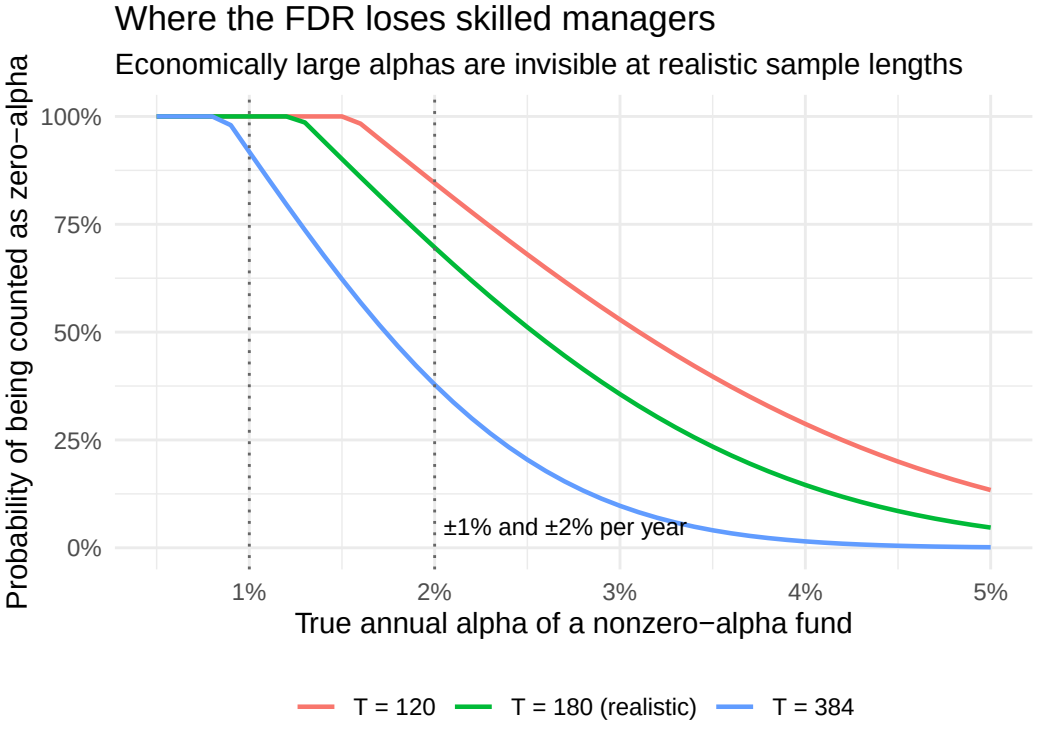
Where the FDR loses skilled managers
Economically large alphas are invisible at realistic sample lengths
Probability of being counted as zero−alpha
100%
75%
50%
25%
0%
±1% and ±2% per year
1%
2%
3%
4%
5%
True annual alpha of a nonzero−alpha fund
T = 120
T = 180 (realistic)
T = 384